

Chapter 1

Understanding innovation

Innovation is vital to the success of any business. But before you can apply it to your own organization, you need to understand what it is, why it is important, and how it applies to different business areas.

Tackling the basics

The word “innovation” today appears everywhere—on company websites, in advertisements for everything from hairspray to healthcare, on the lips of politicians, and in news features. However, while the word itself is popular, the concept of innovation remains poorly defined.



TIP

LOOK AT ALL AREAS

Human history shows that any area of life can benefit from innovation. Think about ways of improving even the most well-established systems in your organization.

Defining innovation

The word “innovation” comes from the Latin words *in* and *novare*, meaning “to make something new, to change.” In principle, that’s something anyone can do—imagination and creativity come as standard equipment for human beings. And it’s something we’ve been doing since the earliest days when our ancestors lived in caves—the reason that we don’t still live there is because of innovation. Working out better ways of hunting, mastering fire and tool-making, learning about agriculture, construction, transportation—quite simply, the history of civilization is about innovation.